ABC News · PM press conference · Business News
Friday 30 October 2026

Gas reservation bill passes the House

> Legislation letting the government reserve up to a fifth of Australia's gas exports for local users has passed the House of Representatives, a major intervention in the east coast energy market.

WHAT HAPPENED

- The **Domestic Gas Reservation Bill** would allow up to **20%** of gas exports to be reserved for the domestic market.
- The PM says more local supply will put **downward pressure on gas prices** and is 'particularly important for Australian manufacturing'.
- The bill now goes to the **Senate**; Energy Minister Chris Bowen urged all parties to pass it quickly.
- Exporters are likely to argue it reduces **export revenue** and could discourage **investment in new supply**, a trade-off for the balance of payments and future capacity.

Gas reservation: requiring a share of production to be sold domestically. **Microeconomic reform:** policies that change how individual markets work to improve efficiency or outcomes.

KEY NUMBERS

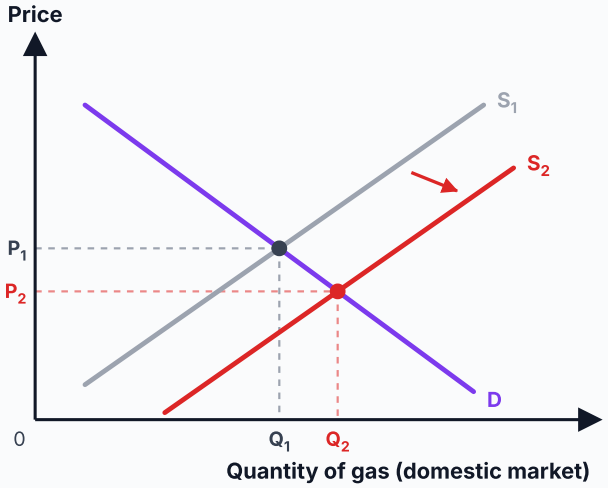
20%
maximum share of exports reserved

House ✔
passed 29 Oct; Senate next

13%
electricity price rise, Sept CPI

10-yr low
physical energy exports (ABS, 2024–25)

DIAGRAM Redirecting supply to the domestic market



Conceptual diagram, not to scale

Reserving export gas for local buyers increases supply in the **domestic** market, shifting **S_1 to S_2**.

The domestic price falls from **P_1 to P_2** and quantity used rises from Q_1 to Q_2, cutting costs for manufacturers and households. The cost is lower export volumes and, possibly, weaker incentives to develop new fields.

Exam angle: evaluate with **both** sides: lower input costs and energy security vs export earnings, investment certainty and sovereign risk.

FLOW CHART The intended chain of effects

Up to 20% of exports reserved → Domestic gas supply rises → Local gas prices fall → **Lower costs for manufacturers and households**

SYLLABUS LINK

Topic 4 – microeconomic policy and intervention in energy markets.
Topic 2 – trade-offs between domestic supply and export earnings.

TRY THIS

Use a supply and demand diagram to explain how a gas reservation policy is expected to affect domestic gas prices. **(4 marks)**

Evaluate a domestic gas reservation scheme as a microeconomic policy. **(6 marks)**

Sources: ABC Politics blog, 29 Oct: abc.net.au/news/2026-10-29/federal-politics-live-blog-oct-29/107320104 · PM press conference, 29 Oct: miragenews.com/australian-prime-minister-press-conference-1768488/ · Business News: businessnews.com.au/article/Gas-reservation-scheme-passes-House-hurdle